Other Government Revenue Sources

Jerome Dumortier

Introduction

User charges

- Price on voluntarily purchased, publicly provided services
- Example: Public transit fare

License fees

- Government sale of licenses to engage in otherwise restricted or forbidden activities
- Example: Fee for a driver's license

Examples of Local Government Charges

Sanitation charges

- Trash collection, landfill, or sewage services

Public utilities (e.g., water, electricity)

- Meter, connection, and consumption charges

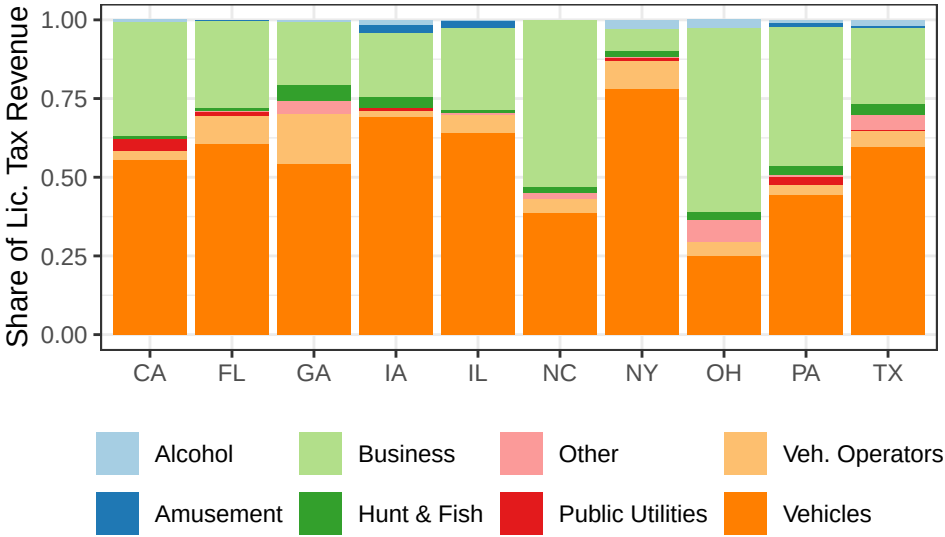
Transportation and parking

- Subway and bus fares, bridge and road tolls, landing and departure fees
- Meter or parking lot fees

Parks and recreation

- Public golf courses, permit charges for tennis courts

Licence Taxes



Nature

Identification of beneficiaries of good/services at the individual level

- Charges linked to frequency/volume of usage
- Means of controlling consumption (e.g., increase prices in times of congestion)
- Examples: City's recreation facility or parking fees

Prevention of non-payers from consuming good or service

- No free riders requiring good to be excludable
- Exclusion must be cost effective

Closest financing mechanism in public sector to private sector pricing

Suitable Services and Reasons

Characteristics of services suitable for a user charge

- Measurable
- Excludable
- Individual benefits

Reasons to impose a user charge

- Reduction in the reliance on taxes
- Encouragement to conserve resources
- Congestion management
- Benefits principal including ability to charge non-residents and nonprofits

Advantages and Disadvantages

Advantages

- Additional revenue
- Register/record service demand
- Improvement of operating efficiency due to responding to demand
- Improvement of financing equity for selected services (e.g., recreational) due to broad usage (e.g., non-residents, tax-exempt entities/individuals)
- Finance burden shifted away from local tax payers

Disadvantages

- Benefits extending beyond principal recipient (e.g., sanitation)
- May produce regressive-burden pattern
- Denial of service delivery to non-payers potentially problematic (e.g., water, electricity, gas)

Feasibility, Excludability, and Coverage

Feasibility of user charge, i.e., ability to measure output

- Type of output measure to be used
- Practicality of output measure and cost effective user charge collection

Feasibility to exclude non-payers

- Ease of charge avoidance

Extent of user charge to cover service provision

- Resource conservation as objective
- Positive (e.g., public health) or negative (e.g., pollution) externality associated with service

User Charge Variation with Volume and Time

Variation with volume

- Constant or increasing marginal cost per unit of output
- Encourage conservation: Charge increases with use
- Encourage use: Charge decreases with use

Variation of user charge by time of use (e.g., by day/week/month)

- Significant variation or uniform service demand over time
- Capacity constraint at peak times
- Ability and cost to add capacity at peak times

Example

- Variation of zoo prices by season or time of day
- Efficiency in pricing by imposing higher (lower) charges during peaks (off-peak)

User Charge Variation by Type of User

Differentiation based on type of user

- Differences in pricing for senior citizens, children, or students
- Difference in unit cost by type of user
- Presence of positive externalities by type of user
- Industry: Higher profits from price discrimination due to variations in willingness-to-pay

Differentiation based on ability-to-pay

- Equity reasons for imposing different user charges
- Means-testing of user charges
- Necessity of service
- Potential of user charges to be regressive

Treatment of Residents versus Non-Residents

Subjection of non-residents to different prices

- Higher costs of providing services to non-residents
- Partial subsidization of the service with general taxes paid by residents
- Assure adequate capacity for residents by discouraging non-resident use
- Comparable to in-state versus out-of-state tuition

Example:

- Memphis Zoo Free Tuesday Afternoon Guidelines: *"The Memphis Zoo allows free general admission to Tennessee residents with ID on Tuesday afternoons from 2 p.m. to close.*

Use of Two-Part User Charge

Separation of user charge into fixed and variable component, i.e., full charge equals fixed fee plus charge per unit

- Linking fixed fee to depreciation for capital component of service and any other fixed cost divided by number of users
- Variable charge per unit is equal to the unit cost for all non-fixed costs

Advantage

- Coverage of full cost of service provision and efficient consumption decision

Disadvantage

- Fixed fee likely very regressive

Overview

Ability to measure demand of public good and service by imposing user charges

- Expression of preferences by user
- Provision of service as long as demand is present
- Not cut in services even during fiscal shortfalls

Response of agency to consumer demand

- Exclusion of politics in providing service due to legislative body not responsible for appropriating funds

Efficiency and Equity

Efficiency

- Distortion of economic decisions to to user charges, e.g., reduction in zoo visits
- Possible increase in operating efficiency of good and service provider

Benefits principle

- Comparison of user charge to property tax regarding benefit principal (e.g., zoo)

Horizontal equity

- Comparison of all households with same ability-to-pay or only users
- Potential exclusion of household that are non-users due to high financial burden

Vertical equity

- Are user charges regressive, proportional, or progressive

Adequacy, Elasticity, and Stability

Adequacy of user charges to finance operations

- In theory: Adequate in the case of full coverage user charge

Elasticity

- Will revenue from the user charges keep up with economic growth (assuming no change in the charges)?

Stability:

- Will revenue from the user charges be relatively stable or not?

Licenses

Regulation of specific activities

- Driving
- Sale of alcohol

Usually flat rate but graduated by type of activity

- While a license is needed to operate, it does not buy a service or a good.

Types of user fees

- Licenses for regulation: Very restrictive and involving regular inspections (e.g., alcohol license)
- License for revenue: Given to all who apply with no inspections

User fees and licenses usually rely on the police power of the state